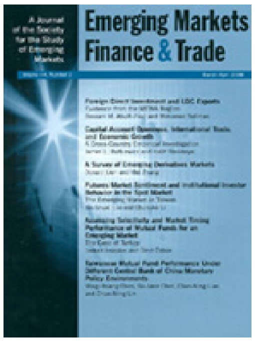

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Does "Vote No" Change Corporate Governance and Firm Value? Evidence from the Shareholder Activism of the Korean National Pension Service

Sungmin Kim, Hee Sub Byun, and Eun Jung Lee

ABSTRACT: In this paper, we analyze the effect of shareholder activism on firm value through internal corporate governance in an emerging market. We investigate the shareholder activism by the National Pension Service (NPS) of Korea, the fourth-largest pension fund in the world in 2010. We investigate stock price reaction to a "vote no" press announcement and find that the market does not react in the short run, which reaction is inconsistent with the results from developed countries. We also find that firms experiencing "vote no" and improved internal corporate governance have higher firm valuation. Shareholder activism by the NPS is effective in increasing target firm value through improving internal corporate governance.

KEY WORDS: corporate governance, firm valuation, pension fund, shareholder activism.

Over the past decade, shareholder activism has become a focus of academic attention in financial economics (Gillan and Starks 2007). Activism has been defined as "proactive efforts to change firm behavior or governance rules" (Black 1998, p. 3). The goal of shareholder activism is to bring about changes in target companies, changes that would improve their operating performance, as well as their shareholder value. Many researchers have attempted to analyze the effect of shareholder activism by pension or hedge funds on the corporate governance structure and valuation of target firms. However, their studies focus primarily on the United Kingdom and the United States, with conflicting results (Black 1992, 1998; Del Guercio et al. 2008; Gillan and Starks 2007; Karpoff 2001). For example, Karpoff (2001) states that shareholder activism in the United States generates small changes in firms' governance structure and has almost no effect on firms' performance, while Brav et al. (2008) show that firms monitored by hedge funds in the United States have better governance structure and performance. With the exception of a few articles (e.g., Zeng et al. 2011), academic studies are concerned with developed financial markets since shareholder activism is most common in those markets. There is very little literature about shareholder activism in emerging markets. Emerging markets differ from developed markets in terms of accounting transparency, liquidity, corruption, governance, taxes, and transaction costs (Bruner et al. 2002). In this paper, we investigate the shareholder activism by the National Pension Service (NPS) of Korea (Korea is a typical emerging market) and study its influence on internal corporate governance and the valuation of target firms. The NPS of Korea is the fourth-largest pension fund globally,

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managing more than USD 289 billion. To our knowledge, this study is the first to examine the main form of shareholder activism by the NPS, which is the "vote no" activity.

"Vote no" campaigns are a method for activists to convince the market, via press releases, to communicate a message of shareholder dissatisfaction to the incumbent management and boards (Del Guercio et al. 2008; Grundfest 1993). "Vote no" activities are the most widespread form of shareholder activism in Korea; they have the same importance in Korea as shareholder proposals have in developed countries. Due to their importance in developed countries, previous literature has focused on shareholder proposals (Carleton et al. 1998). However, in Korea, the "vote no" activity is much more common than shareholder proposals. Over our sample period, 2006–9, no shareholder proposals were issued by the NPS against target companies. Thus, we revisit the effectiveness of shareholder activism by examining whether the NPS's "vote no" activity alters internal corporate governance and the value of target firms.

Our first piece of evidence regarding the influence of "vote no" by the NPS relates to the stock price reaction to a "vote no" press announcement. We report two-day announcement cumulative abnormal returns and find that, in general, the market does not react in the short run. This evidence is inconsistent with the result from Del Guercio et al. (2008). They find a small positive average-stock-price reaction to the press announcement with marginal significance. Even when the NPS votes no, it seldom forces management to change its policy in the short term. As argued by Gillan and Starks (2007) in their study about shareholder proposals, there is still uncertainty about managerial behavior after shareholder meetings. Therefore, the market needs more time to assess the value of the NPS's "vote no" action. Since the activism focuses on long-term performance, it is not surprising that the markets do not react in the short term (Gillan and Starks 2000). The exception to this lack of market reaction in the short term is voting no on an item related to increasing the limit on the total remuneration of directors. We find that the short-term abnormal return is positive when the NPS votes no on an item related to increasing the limit on the total remuneration of directors.

Next, we question whether voting no by the NPS improves internal corporate governance. Due to the increased size of the NPS, it has become increasingly difficult for the NPS to simply sell stocks on the market. The difficulty in disposing of stocks motivates the NPS to engage more actively with corporate management and boards as a shareholder (Gillan and Starks 2000). By examining the relation between corporate governance and "vote no" activity by the NPS, we study whether the NPS's action improves internal corporate governance. We find that target firms are more likely to improve the activities of the board of directors when the NPS votes no on an item related to the election of directors. We also find that protection of shareholder rights tends to improve firms that experience an NPS vote against an item about amendment to the articles of incorporation. It seems clear that by objecting to items in shareholder meetings, the NPS conveys its dissatisfaction with the management of a target company. This conveyance changes the manager's policy and could be seen as a form of NPS engagement in management.

Finally, we study whether the NPS's "vote no" activities improve the operational efficiency of the target companies. Even though the reaction in the market to the NPS's "vote no" is marginal, the "vote no" improves the specific internal corporate governance and the operational efficiency of a target company. To estimate the contribution of these activities to firm valuation, we develop a methodology for understanding the effect of specific "vote no" activities and link them to the target companies' specific internal corporate governance and ultimately to the valuation of the target company. We begin by constructing an interaction variable with the "vote no" activities and the changes in target companies' internal corporate governance after the "vote no" activities. We then examine whether the NPS's "vote no" activities can affect the target firm's valuation differently depending on the degree of the changes in internal corporate governance of the target company after "vote no" activities. Our analysis shows that Tobin's *Q* is higher for companies that experience the NPS's "vote no" against the director and subsequently improve function or composition of the board, arguably the main components of corporate governance. This finding indicates that NPS pressure on the management of target firms leads to improved function of the board of directors and then to enhanced firm valuation.

This paper contributes to extant literature in two ways. First, this paper expands our understanding of shareholder activism in emerging markets. As mentioned previously, shareholder activism is most common in advanced financial markets since there are very few institutional investors (pension funds) in emerging markets; thus, academic studies, with the exception of a few articles (e.g., Zeng et al. 2011), examine advanced financial markets.[1] We still know very little about shareholder activism and pension fund activism in emerging markets. It is also important to study pension funds because they are the most active in monitoring the company (Karpoff 2001; Woidtke 2002). Therefore, it is necessary to investigate emerging markets separately from developed markets to better understand shareholder activism in the world. We study the NPS of Korea, which is one of the largest pension funds in the world and is rapidly increasing in size.[2] Because of the NPS's current size and the speed of increase and the openness of the Korean economy to the global economy, studying Korea's NPS enriches our knowledge of shareholder activism in emerging markets.

Second, we supplement Woidtke (2002) by providing exact linkages between shareholder activism and firm value—that is, internal corporate governance. Woidtke (2002) investigates private and public pension funds and finds that private (public) pension funds provide positive (negative) effects on relative firm value. However, she investigates only the direct relation between shareholder activism and firm value without explicitly considering under which conditions shareholder activism can affect firm value. Our prediction is that, depending on the degree of the changes in internal corporate governance of the target company, the relation between shareholder activism and firm value would be different. We, therefore, consider improvements in internal corporate governance to better understand the relation between shareholder activism and firm value.

Background of the NPS

The NPS of Korea was established in 1988 under the National Pension Act. Since then, its size has increased rapidly, reaching KRW (South Korean won) 330 trillion (about USD 289 billion) in 2010. The NPS is currently the fourth-largest pension fund in the world. It is even larger than the California Public Employees Retirement System, which is about USD 214 billion. We study shareholder activism by the NPS because the NPS has gradually increased equity investments. Since the NPS influences the Korean stock market and is steadily increasing ownership of Korean companies, it is the right time to study whether shareholder activism by the NPS actually increases shareholder value of a company. In 2009, the NPS attended 134 shareholder meetings and voted on 653 items (approving 612 items, disapproving forty items, and remaining neutral on one item).

Other institutional investors disapprove less than 1 percent of the items proposed in shareholder meetings, so the NPS seems to vote against many more items than do other institutional investors.[3] In Korea, family business groups (chaebol), are dominant (Jeon and Ryoo 2013; Joh 2003). Many Korean institutional investors are related to these large business groups. Monitoring activities by domestic institutions are limited because many of them are chaebol-affiliated (Jeon and Ryoo 2013). These chaebol-related institutional investors are not free from the influence of controlling shareholders of a chaebol. They usually vote for controlling shareholders if there is a conflict of interest between controlling shareholders and other shareholders. However, the NPS has more independence, and the role of the NPS, which is not affiliated with chaebols, is more significant. Therefore, it is more beneficial to analyze the voting of the NPS to understand institutional investors' behavior.[4] As Karpoff (2001) and Woidtke (2002) recognize, pension funds are the primary focus of studies on shareholder activism since pension funds are most active in monitoring the target company. Carleton et al. (1998), Del Guercio and Hawkins (1999), English et al. (2004), and Hann (2002) also analyze public pension funds to study shareholder activism.

In Table 1, Panel A reports the exercise of voting right by the NPS for firms of which the NPS has ownership of more than 5 percent. We hand collect from the NPS home page and identify 101 "vote no" activities from 2006 to 2009.[5] The NPS, a major shareholder of many Korean companies, actually runs "vote no" actions in more than 20 percent of shareholder meetings of companies it owns. "Vote no" activities have become more frequent over time. There were only nineteen activities in 2006 compared to forty in 2009. Panel B of Table 1 shows the list of agenda items for which the NPS voted no. Fifty-seven of these agenda items are related to the election of a director and internal auditor. This implies that the NPS concludes that a certain group of directors or internal auditors of target firms have conflicts of interest. In twenty-five of the 101 "vote no" activities, the NPS expresses dissatisfaction with amendments to the articles of incorporation. Another commonly stated reason accounting for 9 percent of the NPS's "vote no" activities is the approval of the limit on the total remuneration of directors.

Sample and Data

Sample

Our sample firms are all publicly traded and held by the NPS in the Korea Exchange (KRX) or Korea Securities Dealers Automated Quotation (KOSDAQ) during the period 2006–9. We obtain financial data from the TS2000, a data set compiled by the Korea Listed Companies Association, and stock return data from Fn-Guide, a Korean financial data provider. The internal corporate governance index is provided by the Korean Corporate Governance Services (KCGS), a nonprofit organization.[6] Our final sample consists of 407 firm-years for the period 2006–9.

We hand collect NPS voting data from its home page. The exercise of voting rights consists of six categories: election of director, election of internal auditor, approval of financial statement, amendment to the articles of incorporation, approval of the limit on the remuneration of directors, and others.[7] Ownership of firms by the NPS is proprietary data and obtained internally from the NPS. We focus on firms in which the NPS holds more than 5 percent, since larger ownership by the NPS generates more effectiveness of shareholder activism in improving internal corporate governance and eventually increasing firm value (Jensen and Meckling 1976).

Table 1. Types and frequency of the NPS's "vote no" activities, January 2006–December 2009

Panel A: Exercise of voting right by the NPS by year

Year	Number of target firms	Number of shareholder meetings	Number of agenda items in shareholder meetings	Exercise of voting right		
				Approved	Disapproved	Neutral/ abstention
2006	83	87	399 (100)	377 (94.5)	19 (4.8)	3 (0.7)
2007	80	87	362 (100)	342 (94.5)	20 (5.5)	0 (0.0)
2008	110	121	508 (100)	485 (95.5)	22 (4.3)	1 (0.2)
2009	134	142	653 (100)	612 (93.7)	40 (6.1)	1 (0.2)
Total	407	437	1,922 (100)	1,816 (94.48)	101 (5.25)	5 (0.26)

Panel B: Agenda items voted no by the NPS (disapproved)

Year	Election of director	Election of auditor	Approval of financial statement	Amendment to the Articles of Incorporation	Approval of the limit on the remuneration of directors	Others	Total
2006	12	2	0	2	0	3	19
2007	6	4	0	4	3	3	20
2008	6	2	0	7	4	3	22
2009	15	10	0	12	2	1	40
Total	39 (38.6)	18 (17.8)	0 (0.0)	25 (24.8)	9 (8.9)	10 (9.9)	101 (100.0)

Source: NPS.

Note: Percentages are in parentheses.

Variables

To examine whether internal corporate governance improves firm value when the NPS votes no, we use firm-specific corporate governance scores provided by the KCGS as in H.Y. Byun et al. (2011). This corporate governance score captures all major aspects of internal corporate governance, such as shareholder rights, board structure, responsibility of board, conflict of interest, composition of audit committee, function of internal auditors, and disclosure and transparency.[8] Thus, the internal corporate governance score includes five subindexes of internal corporate governance practices: shareholder rights protection (*CGI1*), board of directors (*CGI2*), internal auditors (*CGI3*), disclosure (*CGI4*), and payout policy (*CGI5*).[9] Using these subindexes, we implement separate analyses to determine which characteristics of corporate governance are affected by the NPS's "vote no" activities. We also use the internal corporate governance score (*G-index*), excluding dividend policy score, as the proxy of the internal corporate governance (H.S. Byun et al. 2011). We provide the definitions of internal corporate governance proxies and all other variables in Table 2.

We provide the estimated mean, median, standard deviation, maximum, and minimum of all variables in Table 3. On average, the size of the firms held by the NPS is KRW 2.5 trillion. According to this evidence, the NPS seems to invest in relatively large companies.

Empirical Results

Stock Price Reaction to "Vote No" Activities

To examine whether the market reacts in the short run when the NPS votes no, we investigate the abnormal return around the NPS's "vote no" announcement by estimating the ordinary least squares (OLS) market model. We conduct a standard event study using the press announcement of the "vote no" activities as event date 0. We estimate market model parameters over the 200-day period ending twenty days prior to the NPS's announcements. Table 4 contains the average and median cumulative abnormal returns (CARs) and the percentage of positive CARs over three different announcement periods: the two-day announcement period (–1, 0), the three-day announcement period (–1, 1), and the seven-day announcement period (–3, 3). Our data set includes seventy-three "vote no" activities. We find that the two-day CAR is on average 0.32 percent and the three-day CAR is on average 0.93 percent in the full sample, but these values are insignificant. This suggests that the market does not react to the NPS's "vote no" announcements in the short run.

To specify the effect of the NPS's "vote no" activity on target companies, we split the main sample into four subsamples according to the agenda items. We then report the average and median CARs for each agenda item. Firms with the NPS's "vote no" against an item about the election of directors produce a two-day CAR of –0.23 percent, which is statistically insignificant. When the NPS votes no against an item related to the election of internal auditors, we observe positive returns of 0.26 percent, but this value is also statistically insignificant. However, voting against an item to increase the limit on the total remuneration of directors generates a positive abnormal return of 2.97 percent with marginal significance.

The above results from short-run analyses suggest that the market generally does not react to the NPS's "vote no." We interpret the result following Gillan and Starks (2007): The market needs more time to realize the value of the NPS's "vote no" since there is still

Table 2. Definitions of variables

Variable	Definition
CAR	Cumulative abnormal return around the NPS's "vote no" announcements
CGI	Overall corporate governance score provided by the KCGS, based on 100 points
G-index	Overall corporate governance score provided by the KCGS (based on 100 points), excluding payout category
CGI1	Shareholder rights protection part of the overall corporate governance score provided by the KCGS
CGI2	Board part of the overall corporate governance score provided by the KCGS
CGI3	Audit committee and auditors part of the overall corporate governance score provided by the KCGS
Tobin's Q	Market value of assets (market value of equity plus book value of debt) divided by the book value of assets
Vote NO	Dummy variable: *Vote NO* = 1 if the NPS votes no against an item; otherwise, *Vote NO* = 0
Vote NO Against Director	Dummy variable: *Vote NO Against Director* = 1 if the NPS votes no against an item about the election of directors; otherwise, *Vote NO Against Director* = 0
Vote NO Against Auditor	Dummy variable: *Vote NO Against Auditor* = 1 if the NPS votes no against an item about the election of auditor; otherwise, *Vote NO Against Auditor* = 0
Vote NO Against Amendment	Dummy variable: *Vote NO Against Amendment* = 1 if the NPS votes no against an item about the amendment to the Articles of Incorporation; otherwise, *Vote NO Against Amendment* = 0
Vote NO Against Remuneration	Dummy variable: *Vote NO Against Remuneration* = 1 if the NPS votes no against an item about the increase of the limit on the remuneration of directors; otherwise, *Vote NO Against Remuneration* = 0
Pension ownership	Ownership of firms by the NPS
Size	The natural log of total assets
Years listed	The natural log of number of years since original listing on exchanges
Debt/Equity	Book value of debt/market value of common stock
Sales growth	Average growth rate of sales during the past five fiscal years (or available period if less than five years)
R&D/Sales	Research and development (R&D) expense/sales
Advertising/Sales	Advertising expense/sales
Export/Sales	Export revenue/sales
PPE/Sales	Property, plant, and equipment/sales
CAPEX/PPE	Capital expenditures/property, plant, and equipment
EBIT/Sales	Earnings before income and taxes/sales
Market share	Firm's share of total sales by all firms in the same three-digit industry traded on KRX
Share turnover	Common shares traded during fiscal year/common shares held by public shareholders (defined as outstanding shares x [1 – share ownership by largest shareholder])
Foreign	Number of shares owned by foreign investors who own more than 5 percent/total number of common stocks
Chaebol	Dummy variable: *Chaebol* = 1 if the firm belongs to a chaebol conglomerate; otherwise, *Chaebol* = 0
Largest	Percentage share ownership by largest shareholder (the shareholder that, together with its related parties, holds the largest number of common shares)
ADR	Dummy variable: *ADR* = 1 if firm has issued ADRs (American Depository Receipt); otherwise, *ADR* = 0
MSCI	Dummy variable: *MSCI* = 1 if firm is in Morgan Stanley Capital International Index; otherwise, *MSCI* = 0
Bank	Dummy variable: *Bank* = 1 if a commercial bank or a merchant bank; otherwise, *Bank* = 0

Table 3. Summary statistics of the variables used in the empirical analysis, 2006–2009

	N	Mean	Median	Standard deviation	Maximum	Minimum
Tobin's Q	428	1.1756	1.0075	0.5825	4.9686	0.4103
Pension ownership	438	0.0720	0.0662	0.0199	0.1581	0.0500
CGI	403	42.9611	40.3333	10.8405	76.6667	23.3333
G-index	403	41.9347	39.3333	10.7259	74.0000	23.3333
CGI1	403	17.2010	17.3333	2.7976	24.0000	9.3333
CGI2	403	8.9198	7.6667	3.6797	23.0000	3.0000
CGI3	403	8.0529	6.6667	3.7624	16.3333	0.3333
Size (billion won)	428	2,533	531	6,402	86,024	9
Years listed	426	19	16	13	54	1
Debt/Equity	428	1.1213	0.6085	1.3964	9.4769	0.0184
Sales growth	425	0.1731	0.0960	0.3374	3.8880	–0.2903
R&D/Sales	426	0.0110	0.0014	0.0235	0.2235	0.0000
Advertising/ Sales	424	0.0097	0.0013	0.0191	0.1564	0.0000
Export/Sales	426	0.0284	0.0000	0.1362	0.8930	0.0000
PPE/Sales	426	0.3702	0.2838	0.2930	1.7110	0.0027
CAPEX/PPE	426	0.4272	0.1588	1.3188	11.3589	0.0000
EBIT/Sales	438	0.0840	0.0785	0.1523	0.9218	–0.5873
Market share	426	0.1420	0.0568	0.2120	1.0000	0.0001
Share turnover	426	3.0516	2.3011	2.9584	38.5315	0.1523
Foreign	438	0.0421	0.0000	0.0697	0.7537	0.0000
Chaebol	438	0.3516	0.0000	0.4780	1.0000	0.0000
Largest	410	0.3479	0.3504	0.1705	0.9680	0.0000
ADR	438	0.0160	0.0000	0.1255	1.0000	0.0000
MSCI	438	0.2420	0.0000	0.4288	1.0000	0.0000
Bank	438	0.0205	0.0000	0.1420	1.0000	0.0000

Note: See Table 2 for definitions of variables.

uncertainty about the manager's behavior after a no vote in a shareholder meeting. Moreover, activism generally focuses on long-term performance (Gillan and Starks 2000).

Since the NPS votes no to various items in shareholder meetings, it is possible that a "vote no" on a particular item can affect the market. Therefore, to decide which item of a shareholder meeting is related to abnormal return when the NPS votes no on the item, we regress CARs on various items in shareholder meetings and other control variables. The control variables consist of the percentage of NPS ownership. We also use the control variables used by Black et al. (2006a, 2006b). We estimate fixed effects regression and use clustered standard error at firm level and year level by Petersen (2009).

Table 5 reports the results from regressions exploring the market response to each item on which the NPS votes no. These results are similar to univariate results in Table 4. Generally, we cannot observe any significant relation between the NPS's "vote no" announcements and market reaction. These short-run analyses suggest that the market generally does not react to the NPS's "vote no."

Table 4. Stock price reaction to the NPS's "vote no" activities

	***CAR* (–1, 0)**	***CAR* (–1, 1)**	***CAR* (–3, 3)**
Vote NO (*n* = 73)			
Mean	0.0014	0.0045	0.0066
	(0.7466)	(0.3574)	(0.3827)
Median	0.0019	0.0051	0.0001
	(0.8939)	(0.2981)	(0.7296)
Positive CAR (percent)	48.7	56.6	48.7
Vote NO against the election of director (*n* = 34)			
Mean	–0.0023	–0.0020	0.0083
	(0.7305)	(0.7960)	(0.4870)
Median	0.0031	0.0079	0.0048
	(0.8606)	(0.8606)	(0.6452)
Positive CAR (percent)	50.0	55.6	50.0
Vote NO against the election of auditor (*n* = 18)			
Mean	0.0025	0.0035	0.0076
	(0.7726)	(0.7435)	(0.6075)
Median	0.0030	0.0180	0.0035
	(0.7337)	(0.7660)	(0.7337)
Positive CAR (percent)	55.6	61.1	50.0
Vote NO against amendment to the Articles of Incorporation (*n* = 25)			
Mean	–0.0051	–0.0048	–0.0086
	(0.4113)	(0.4312)	(0.4661)
Median	–0.0044	–0.0040	–0.0195
	(0.2280)	(0.3229)	(0.2497)
Positive CAR (percent)	36.0	40.0	40.0
Vote NO against the limit on the remuneration of directors (*n* = 7)			
Mean	0.0273	0.0297*	0.0118
	(0.1185)	(0.0844)	(0.3975)
Median	0.0202	0.0279	–0.0031
	(0.1563)	(0.1094)	(0.5781)
Positive CAR (percent)	71.4	85.7	42.9

Notes: CAR is the cumulative abnormal stock return over three different announcement periods: the two-day (–1, 0), three-day (–1, 1), and seven-day (–3, 3) announcement periods. We estimate the abnormal return surrounding the NPS's "vote no" announcement by estimating the OLS market model. Specifically, the abnormal return of a stock on an event day t is its day t return minus $(\alpha + \beta \times R_{mkt,t})$, where α and β are the estimated coefficients of the market model and $R_{mkt,t}$ is the day t return on the market index (Korea composite Stock Price Index [KOSPI] or KOSDAQ index). We estimate market model parameters in the 200-day period ending twenty days prior to the announcement. Numbers in parentheses are p-value from t-tests or Wilcoxon's rank sum tests. * Significant at the 10 percent level; ** significant at the 5 percent level; *** significant at the 1 percent level.

Effect of the NPS's "Vote No" Activities on Internal Corporate Governance

Due to the large size of the NPS and its effect on the market, it has become increasingly difficult for the NPS to simply sell its stock in the markets when it is not satisfied with the management of a target firm. Therefore, the NPS is more inclined to shareholder

Table 5. Effect of the NPS's "vote no" in various agenda items on CARs

	CAR **(–1,1)**			
	(1)	**(2)**	**(3)**	**(4)**
Intercept	0.0983 (0.53)	0.0814 (0.42)	0.0871 (0.44)	0.1181 (0.60)
Vote NO Against Director	–0.0180 (–1.41)			
Vote NO Against Auditor		–0.0070 (–0.48)		
Vote NO Against Amendment			–0.0135 (–1.11)	
Vote NO Against Remuneration				0.0210 (0.81)
Pension ownership	0.0697 (0.16)	0.1353 (0.28)	0.0757 (0.17)	–0.0055 (–0.01)
G-index	0.0005 (0.59)	0.0004 (0.48)	0.0002 (0.15)	0.0003 (0.34)
Size	–0.0057 (–0.68)	–0.0049 (–0.57)	–0.0043 (–0.47)	–0.0060 (–0.68)
Years listed	0.0083 (0.68)	0.0042 (0.36)	0.0003 (0.02)	0.0065 (0.53)
Debt/Equity	0.0008 (0.32)	0.0018 (0.61)	0.0019 (0.63)	0.0014 (0.50)
Sales growth	–0.0040 (–0.07)	–0.0124 (–0.20)	–0.0271 (–0.41)	–0.0051 (–0.08)
R&D/Sales	0.4014 (1.00)	0.4319 (0.97)	0.4365 (0.97)	0.3270 (0.80)
Advertising/Sales	0.1023 (0.27)	0.1319 (0.31)	0.2020 (0.51)	0.3055 (0.74)
PPE/Sales	0.0364 (0.52)	0.0498 (0.68)	0.0520 (0.72)	0.0300 (0.38)
(PPE/Sales)^2	–0.0252 (–0.62)	–0.0322 (–0.78)	–0.0319 (–0.78)	–0.0223 (–0.51)
CAPEX/PPE	–0.0031 (–0.28)	–0.0007 (–0.07)	0.0018 (0.16)	–0.0037 (–0.32)
EBIT/Sales	–0.0862 (–0.86)	–0.0693 (–0.66)	–0.0494 (–0.49)	–0.0653 (–0.60)
Market share	0.0575* (1.89)	0.0622* (1.81)	0.0539 (1.57)	0.0561* (1.77)
Share turnover	0.0005 (0.22)	0.0008 (0.29)	0.0009 (0.35)	0.0005 (0.18)
Foreign	0.1036 (0.97)	0.0914 (0.83)	0.0500 (0.46)	0.0847 (0.86)
Chaebol	–0.0001 (–0.01)	–0.0019 (–0.11)	–0.0002 (–0.01)	0.0020 (0.11)
Largest	–0.0431 (–0.33)	–0.0250 (–0.19)	–0.0690 (–0.52)	–0.0193 (–0.15)
(Largest)^2	0.1061 (0.63)	0.0848 (0.50)	0.1372 (0.80)	0.0761 (0.45)
ADR	0.2629* (1.78)	0.2415 (1.61)	0.2005 (1.27)	0.2624* (1.73)
MSCI	–0.0252 (–0.98)	–0.0272 (–1.01)	–0.0308 (–1.12)	–0.0260 (–0.96)

(continues)

Table 5. Continued

	CAR (–1,1)			
	(1)	(2)	(3)	(4)
Bank	–0.0500	–0.0729	–0.0770	–0.0538
	(–1.14)	(–1.40)	(–1.39)	(–1.09)
Industry effect	Yes	Yes	Yes	Yes
Year effect	Yes	Yes	Yes	Yes
N	69	69	69	69
Adj. R^2	0.0843	0.0307	0.0492	0.0451

Notes: See Table 2 for definitions of variables. Values in parentheses are *t*-values. * Significant at the 10 percent level; ** significant at the 5 percent level; *** significant at the 1 percent level.

activism that can improve the target firm's value. That is, the NPS holds the stocks and exercises its right as a shareholder to voice its concern about the target company's poor performance and corporate governance. "Vote no" activities, an important form of shareholder activism in Korea, convey shareholders' dissatisfaction with management and board decisions on company strategy or with corporate governance issues, such as elections of directors and internal auditors. As Del Guercio et al. (2008) and Grundfest (1993) argue, managers care about their reputations, and thus the external pressure of "vote no" activities can motivate management to increase firm value. In particular, when the NPS votes no against the election of directors, the vote induces managers to improve the function or composition of the board. Similarly, firms that experience the NPS's "vote no" against the election of internal auditors are more motivated to improve the structures or the functions of the audit committee and internal auditors. To examine whether voting no by the NPS improves internal corporate governance, we employ fixed effects regression. We use clustered standard error at firm level and year level by Petersen (2009).

The results are presented in Table 6. We find an insignificantly positive coefficient for the *Vote NO* dummy. We find a positive significant coefficient for *Vote NO Against Director*. This positive and significant coefficient suggests that target firms are more likely to improve the activities of the board when the NPS votes no on an item touching on the election of directors. We also observe that the coefficient of *Vote NO Against Amendment* is positive and significant. Therefore, we argue that firms that are targeted by an NPS vote against an item about amendments to the articles of incorporation tend to strengthen shareholder rights. It is clear that by conveying dissatisfaction with the management of a target company, the NPS is able to exert considerable influence.[10]

Effect of the NPS's "Vote No" Activities on Firm Valuation Through the Changes in Internal Corporate Governance

The main question of interest in this section is whether the NPS's "vote no" activities improve the operational efficiency of the target companies. As mentioned earlier, empirical evidence of the effects of shareholder activism is mixed (Gillan and Starks 2007). Some evidence supports the idea that shareholder activism has an effect on firm value since an institutional investor acts as a monitor (Brav et al. 2008). Other evidence indicates there is no effect from activism (Karpoff 2001). As Karpoff (2001) concludes, shareholder activism somewhat improves corporate governance, but has little effect on share value.

Table 6. Effect of the NPS's "vote no" activities on internal corporate governance

	Change in ***CGI***	Change in ***G-index***	Change in ***CGI2***	Change in ***CGI3***	Change in ***CGI1***	Change in ***CGI2***
	Model (1)	**Model (2)**	**Model (3)**	**Model (4)**	**Model (5)**	**Model (6)**
Intercept	–139.9900	–143.0545*	–27.2474	–85.9665*	–40.2271	–30.9699
	(–1.65)	(–1.67)	(–0.81)	(–1.85)	(–1.06)	(–0.92)
Vote No	1.1587	1.0963				
	(1.14)	(1.06)				
Vote NO Against Director			0.8529*			
			(1.79)			
Vote NO Against Auditor				0.6770		
				(0.70)		
Vote NO Against Amendment					1.5260*	
					(1.92)	
Vote NO Against Remuneration						0.3588
						(0.29)
Pension ownership	27.6042	26.9168	6.1619	17.9940	–2.3263	5.2638
	(1.24)	(1.20)	(0.68)	(1.46)	(–0.27)	(0.56)
Size	4.9563	5.0152	0.7175	3.2411*	1.6062	0.8662
	(1.58)	(1.60)	(0.57)	(1.83)	(1.15)	(0.70)
Years listed	–0.9635	–0.1334	1.7793	–1.5304	–1.6108	1.7953
	(–0.37)	(–0.05)	(1.07)	(–1.44)	(–0.98)	(1.05)
Debt/Equity	–0.2519	–0.3667	–0.0147	–0.4155***	0.1631	–0.0171
	(–0.75)	(–1.12)	(–0.12)	(–3.00)	(1.35)	(–0.13)
Sales growth	2.2178	2.0856	0.8230	0.8228	–0.7356	0.8483
	(1.63)	(1.58)	(1.13)	(1.23)	(–0.87)	(1.15)
R&D/Sales	–24.3710	–20.3723	9.1769	–20.1689	–8.4593	8.3942
	(–0.33)	(–0.28)	(0.41)	(–0.84)	(–0.22)	(0.38)
Advertising/Sales	139.6004	131.1566	30.2796	–3.3372	81.0004	31.0378
	(1.60)	(1.50)	(0.50)	(–0.09)	(1.64)	(0.51)

(continues)

Table 6. Continued

	Change in *CGI*	Change in *G-index*	Change in *CGI2*	Change in *CGI3*	Change in *CGI1*	Change in *CGI2*
	Model (1)	**Model (2)**	**Model (3)**	**Model (4)**	**Model (5)**	**Model (6)**
Export/Sales	–15.3808***	–16.3686***	–2.8497***	–5.4782***	–3.4883***	–2.9576***
	(–7.34)	(–8.84)	(–3.30)	(–4.42)	(–3.47)	(–3.43)
PPE/Sales	15.3084*	13.1422	4.6054	3.2216	3.7812	4.0249
	(1.84)	(1.55)	(1.33)	(0.80)	(1.18)	(1.17)
(PPE/Sales)^2	–10.7259*	–9.2490	–2.6694	–0.8290	–5.0231**	–2.1597
	(–1.77)	(–1.49)	(–1.11)	(–0.26)	(–2.26)	(–0.92)
CAPEX/PPE	0.0181	–0.0146	0.1445	–0.2632	0.0193	0.1306
	(0.04)	(–0.04)	(0.84)	(–1.11)	(0.15)	(0.64)
EBIT/Sales	0.3471	0.0014	–0.0767	–0.3645	1.8076	–0.2060
	(0.11)	(0.00)	(–0.04)	(–0.16)	(0.83)	(–0.12)
Market share	14.5314	13.7370	8.3438	4.2311	1.7058	8.5916
	(0.77)	(0.73)	(1.01)	(0.55)	(0.25)	(1.02)
Share turnover	0.0680	0.0674	0.0579	0.0232	–0.2951*	0.0156
	(0.20)	(0.20)	(0.49)	(0.25)	(–1.91)	(0.13)
Foreign	0.6193	1.7705	8.0493*	–7.5043	2.7360	8.0284*
	(0.06)	(0.17)	(1.88)	(–1.28)	(0.58)	(1.85)
Chaebol	–3.1628**	–2.3737	–0.7677	0.1147	–1.6828**	–0.8095
	(–2.08)	(–1.51)	(–1.34)	(0.11)	(–2.52)	(–1.41)
Largest	1.0365	0.8776	–3.6640	–3.2648	8.5690**	–3.9614
	(0.16)	(0.14)	(–1.11)	(–0.99)	(2.32)	(–1.22)
(Largest)^2	2.3945	2.2682	6.7021	8.4036	–13.8987**	7.2607
	(0.21)	(0.19)	(1.14)	(1.40)	(–2.18)	(1.24)
Firm effect	Yes	Yes	Yes	Yes	Yes	Yes
Year effect	Yes	Yes	Yes	Yes	Yes	Yes
N	383	383	383	383	383	383
Adj. R^2	0.0943	0.0854	0.0441	0.149	0.0777	0.0322

Notes: See Table 2 for definitions of variables. Values in parentheses are *t*-values. * Significant at the 10 percent level; ** significant at the 5 percent level; *** significant at the 1 percent level.

In this section, we explicitly consider the improvement in internal corporate governance to better understand the relation between shareholder activism and firm value. We employ the pooled fixed effects regression.

We first construct an interaction variable (*Change in CGI *Vote NO*) with the "vote no" activities and the changes in target companies' specific corporate governance. We then examine whether the NPS's activities affect the target firm valuation differently depending on the degree of the changes in specific corporate governance of the target company. We use clustered standard error at firm level and year level by Petersen (2009).

Table 7 presents the results for the estimated coefficients of Equation (3). In column 1 of Table 7, we first investigate whether "vote no" activities increase or decrease target firm value. We find a negative and significant coefficient for *Vote NO Against Director*. This evidence is consistent with the result from Woidtke (2002). To estimate the contribution of internal corporate governance between shareholder activism and firm value, we add the interaction variable *Change in CGI2 *Vote NO Against Director*. In this case, the NPS votes no against an item about the election of directors, and target firms improve the function or composition of the board. Surprisingly, we find a significant and positive coefficient for this interaction variable. This result suggests that *Tobin's Q* is higher for companies that experience the NPS's "vote no" against the director, which is arguably the main component of corporate governance, and subsequently improve function of the board (*CGI2*). Without considering internal corporate governance, shareholder activism by the NPS seems to decrease the valuation of the target companies. However, if specific corporate governance of target firms improves after shareholder activism by the NPS, the value of the target firm increases. In column 2 of Table 7, we also find a significant and positive coefficient for the interaction variable *Change in CGI3 *Vote NO Against Auditor*. This suggests that even though the effect of "vote no" against an item about auditors is minimal, the NPS's "vote no" activities against an item about the election of auditors improve the operational efficiency of the target companies.

Next, we use the interaction variable with *Change in CGI1* and *Vote NO Against Amendment*. We find the insignificantly negative coefficient for the interaction variable (*Change in CGI1 *Vote NO Against Amendment*). This result suggests that the NPS's "vote no" activities against amendment do not improve the target firm valuation even though they strengthen shareholder rights. We also investigate whether "vote no" against approval of the limit on the remuneration of directors increases or decreases target firm value. We observe that the coefficient for the interaction variable *Change in CGI2 *Vote NO Against Remuneration* is insignificantly positive. According to the results of Tables 6 and 7, if the NPS votes no against an item about the election of directors, which is the main component of corporate governance, and these "vote no" activities improve the target firm's corporate governance, such as the function or independence of the board, then "vote no" activities can increase the target firm's valuation.

Conclusion

In this paper, we investigate shareholder activism by the NPS of Korea and study its influence on internal corporate governance and valuation of target firms. We focus on the NPS's "vote no" activities, which are the most prevalent form of shareholder activism in Korea. By examining the relation between corporate governance and activism by the NPS in various regressions with control variables, we confirm that the NPS's voting no improves specific internal corporate governance. We find that target firms are more likely

Table 7. Effect of the NPS's "vote no" activities on firm valuation through changes in internal corporate governance

	Model (1)	Model (2)	Model (3)	Model (4)
Intercept	–5.3176 (–0.78)	–4.9378 (–0.73)	–4.6429 (–0.70)	–3.8677 (–0.56)
Vote NO Against Director	–0.1744** (–2.44)			
Vote NO Against Auditor		–0.1398 (–1.51)		
Vote NO Against Amendment			0.0062 (0.06)	
Vote NO Against Remuneration				0.0325 (0.17)
Change in CGI2	–0.0046 (–0.32)			–0.0025 (–0.18)
Change in CGI3		–0.0110 (–1.03)		
Change in CGI1			–0.0150 (–1.41)	
*Change in CGI2 * Vote NO Against Director*	0.0892*** (2.88)			
*Change in CGI3 * Vote NO Against Auditor*		0.0770*** (2.62)		
*Change in CGI1 * Vote NO Against Amendment*			–0.0102 (–0.35)	
*Change in CGI2 * Vote NO Against Remuneration*				0.0774 (1.12)
Pension ownership	–0.0351 (–0.02)	0.2202 (0.14)	0.0154 (0.01)	–0.0548 (–0.04)
Size	0.3146 (1.25)	0.2930 (1.17)	0.2859 (1.17)	0.2584 (1.01)
Years listed	–0.6386*** (–2.62)	–0.5949** (–2.55)	–0.6282** (–2.38)	–0.6262** (–2.38)
Debt/Equity	–0.0384 (–1.59)	–0.0361 (–1.39)	–0.0336 (–1.33)	–0.0355 (–1.40)
Sales growth	–0.0853 (–0.82)	–0.0666 (–0.63)	–0.0990 (–0.95)	–0.0985 (–0.92)
R&D/Sales	0.6635 (0.11)	0.9102 (0.16)	0.6283 (0.11)	0.5914 (0.10)
Advertising/Sales	–7.5604 (–0.91)	–8.3663 (–0.97)	–7.3461 (–0.85)	–8.0552 (–0.95)
Export/Sales	–0.2216 (–1.06)	–0.2653 (–1.29)	–0.2445 (–1.15)	–0.1889 (–0.89)
PPE/Sales	–1.2900** (–1.99)	–1.1789* (–1.83)	–1.1484* (–1.77)	–1.1179* (–1.70)
(PPE/Sales)^2	0.9513** (1.99)	0.8711* (1.82)	0.7980* (1.68)	0.7906 (1.61)
CAPEX/PPE	–0.1973** (–2.26)	–0.2044** (–2.28)	–0.2000** (–2.26)	–0.2023** (–2.35)
EBIT/Sales	0.1178 (0.37)	0.1827 (0.54)	0.1607 (0.49)	0.1100 (0.34)
Market share	1.3425 (1.57)	1.3142 (1.53)	1.4344 (1.64)	1.2679 (1.52)

	Model (1)	Model (2)	Model (3)	Model (4)
Share turnover	0.0109	0.0154	0.0096	0.0138
	(0.50)	(0.74)	(0.45)	(0.67)
Foreign	0.0567	0.0927	0.0424	–0.0055
	(0.10)	(0.17)	(0.08)	(–0.01)
Chaebol	0.0092	0.0222	–0.0063	0.0137
	(0.06)	(0.14)	(–0.04)	(0.09)
Largest	–0.8246**	–0.6499	–0.5032	–0.7046*
	(–2.08)	(–1.62)	(–1.31)	(–1.77)
(Largest)^2	1.4426**	1.1544	0.9087	1.2739*
	(1.97)	(1.60)	(1.30)	(1.74)
Firm effect	Yes	Yes	Yes	Yes
Year effect	Yes	Yes	Yes	Yes
N	383	383	383	383
Adj. R^2	0.387	0.384	0.381	0.375

Notes: See Table 2 for definitions of variables. Values in parentheses are *t*-values. * Significant at the 10 percent level; ** significant at the 5 percent level; *** significant at the 1 percent level.

to improve the activities of the board of directors when the NPS votes no to an item related to the election of directors. It is clear that by objecting to items in shareholder meetings, the NPS conveys its dissatisfaction to the management of a target company.

We examine whether the NPS's "vote no" activities can affect the target firm valuation differently depending on the degree of the changes in specific internal corporate governance of the target company after "vote no" activities. The results show that if the NPS votes no against an item about the election of directors or auditors and these "vote no" activities improve the target firm's corporate governance, such as the function of the board and the structures of the audit committee and internal auditors, then "vote no" activities can increase the target firm's valuation. This finding indicates that the NPS pressures the management of target firms to improve specific internal corporate governance and thus to enhance firm valuation. Considering the results of our analyses, we conclude that shareholder activism by the NPS is effective in increasing valuation of target companies when it improves internal corporate governance.

Notes

1. Bohl et al. (2011) present an analysis of pension funds' performance in Poland and Hungary.

2. The Government Pension Investment Fund in Japan (USD 1.432 trillion) is the largest pension fund in the world, followed by the Government Pension Fund Global in Norway (USD 550 billion) and ABP in the Netherlands (USD 319 billion) (Towers Watson 2011).

3. Other institutional investors disapproved 0.37 percent of the items proposed in shareholder meetings in 2006; 0.55 percent in 2007; 0.45 percent in 2008; and 0.43 percent in 2009 (www.krx.co.kr/m10/m10_1/m10_1_3/JHPKOR10001_03_01.jsp?noti_no=17437&cur_page=1&rn=122&word=%EC%9D%98%EA%B2%B0%EA%B6%8C&sch=all/) (in Korean).

4. As Becht et al. (2009) argue, even public pension funds face conflicts of interest. For example, public pension funds are under the influence of politicians whose interests are different from those of the pension funds' beneficiaries.

5. The NPS was established to secure financial resources to pay back pension benefits for insurance programs such as old-age pension, survivor pension, and disability pension. To achieve this, the NPS pursues five principles in its operation: stability, profitability, public benefit, liquidity, and independence. The NPS discloses the results of its voting on its home page (www.nps.or.kr)

(in Korean) within two weeks of shareholder meetings. The NPS exercises voting rights based on internal standards to maximize the insureds' benefit and welfare.

6. KCGS is a nonprofit organization created by restructuring and expanding the Korea Corporate Governance Improvement Center, its predecessor body founded in June 2002. The KCGS compiles governance information for all Korean companies listed in KRX annually. They provide firm-level internal corporate governance information with a particular score attached. As of 2006, they had 130 assessment items with a total score of 300 points, which we convert to a 100-point scale. Sixty percent of items are evaluated by way of various disclosures; the remaining 40 percent are responses to questionnaires.

7. "Others" includes reduction of capital, stock options, and retirement grants for the director.

8. See Byun et al. (2011) for survey questions on the corporate governance practices of listed Korean firms. By contrast, Huang et al. (2012) use three main factors—board composition, ownership structure, and financial reporting credibility—to measure corporate governance.

9. *CGI1* includes shareholder rights provisions, ownership structure, and related-party transactions. *CGI2* consists of the composition and the functions of the boards—for example, a board of directors comprising a majority of outside directors. *CGI3* represents the structures, the functions, and the responsibilities of the audit committee and internal auditors—for example, establishing the audit committee composed solely of outside directors. *CGI4* includes management transparency and the disclosure of firm information. *CGI5* focuses on dividend yields, payout ratio, and stock repurchases.

10. We partition firms into two categories according to the NPS's shareholdings, less or more than 10 percent. We find that even when the NPS owns more than 10 percent in a company, the NPS does not influence governance or firm value. We believe that this is because there are only four "vote no" activities by the NPS for firms of which the NPS has ownership of more than 10 percent. Overall, there are only forty firms in which the NPS holds more than 10 percent. We do not tabulate the results for brevity, but the results are available from the authors upon request.

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